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**PARLIAMENT OF THE DEMONSTRATION
REPUBLIC OF SRI LANKA**

INLAND REVENUE (AMENDMENT) ACT, No. 99 OF 2026

[FICTIONAL DEMONSTRATION DOCUMENT]

An Act to amend the Inland Revenue Act, No. 24 of 2017 for the year of assessment commencing on April 1, 2026, including a new digital productivity equipment relief and revised individual tax rates.

IMPORTANT NOTICE

All provisions, amounts, rates, section numbers, dates and identifiers in this document are synthetic and are created solely to demonstrate year-indexed RAG retrieval, provenance, calculation, Act exclusion and explainability. This document is not law and must not be relied upon for tax compliance.

CONTENTS

PART	SUBJECT	SECTIONS
I	Preliminary and general amendments	1–30
II	First Schedule — tax rates	31–34
III	Fifth Schedule — reliefs and deductions	35–58
IV	Administrative and procedural amendments	59–88
V	Transitional and concluding provisions	89–98
Schedule A	Individual tax rates for 2026/27	A1–A5
Schedule B	Digital Productivity Equipment Relief	B1–B12
Schedule C	Documentary evidence and verification	C1–C10
Schedule D	Demonstration provenance map	D1–D12

CERTIFICATION

This synthetic document is intentionally drafted in an amendment-oriented legislative style so that the project's extraction and provenance workflows can be demonstrated against a document with multiple sections, schedules, cross-references, effective dates, caps and tax-rate tables.

Short title and date of operation

1. (1) This Act may be cited as the INLAND REVENUE (AMENDMENT) ACT, No. 99 OF 2026.
- (2) Subject to subsection (3), the provisions of this Act shall come into operation on April 1, 2026.
- (3) The amendments made by sections 8, 9, 10, 31, 32, 33 and 34 shall apply for the year of assessment commencing on April 1, 2026 and for every subsequent year of assessment unless otherwise provided.

Principal enactment

2. In this Act, the Inland Revenue Act, No. 24 of 2017 is referred to as the “principal enactment”.

Words and expressions used in this Act and not defined herein shall, unless the context otherwise requires, have the meanings assigned to them in the principal enactment.

Amendment of section 3 of the principal enactment

3. Section 3 of the principal enactment is hereby amended by the insertion immediately after the definition of “digital service” of the following definition: -

“digital productivity equipment” means computer equipment, electronic equipment, connectivity equipment or other equipment prescribed for the purposes of a relief under the Fifth Schedule, which is used primarily in the production of income.”

Amendment of section 10

4. Section 10 of the principal enactment is hereby amended in subsection (1) by the insertion immediately after paragraph (c) of the following new paragraph: -

“(d) an amount derived from the provision of qualifying digital productivity services, to the extent that such amount is required to be treated separately under this Act.”

Amendment of section 11

5. Section 11 of the principal enactment is hereby amended by the insertion immediately after subsection (4) of the following new subsection: -

“(5) An expenditure incurred in acquiring an asset shall not be treated as an allowable deduction under this section where a deduction in respect of that asset is expressly provided under another provision of this Act.”

Amendment of section 15

6. Section 15 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) Where an expenditure is partly incurred in producing income and partly incurred for a private purpose, only the portion reasonably attributable to the production of income shall be deductible.”

Amendment of section 20

7. Section 20 of the principal enactment is hereby amended by the insertion immediately after subsection (2) of the following new subsection: -

“(3) For the purposes of this section, an amount deducted under a relief in the Fifth Schedule shall be treated as a deduction in calculating taxable income for the relevant year of assessment.”

Amendment of section 52 — new digital productivity relief

8. Section 52 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) Subject to the provisions of the Fifth Schedule, an individual may deduct from assessable income an amount qualifying as digital productivity equipment relief for a year of assessment commencing on or after April 1, 2026.”

“(5) The deduction under subsection (4) shall not exceed the maximum amount specified in the Fifth Schedule for the relevant year of assessment.”

Amendment of section 52 — ordering of deductions

9. Section 52 of the principal enactment is hereby amended by the insertion immediately after subsection (5) of the following new subsection: -

“(6) Where more than one deduction is available to an individual under this section, the Commissioner-General may specify by notice the order in which such deductions shall be applied, provided that no deduction shall exceed the amount permitted under the relevant provision.”

Amendment of section 54 — taxable income

10. Section 54 of the principal enactment is hereby amended by the insertion immediately after subsection (2) of the following new subsection: -

“(3) In calculating taxable income for the year of assessment commencing on April 1, 2026, the amount of any relief under paragraph 2 of the Fifth Schedule shall be deducted only to the extent that the amount is supported by information required under this Act.”

Amendment of section 60 — records

11. Section 60 of the principal enactment is hereby amended by the insertion immediately after subsection (5) of the following new subsection: -

“(6) A person claiming a deduction under the Fifth Schedule shall retain documentary evidence sufficient to establish the nature, amount and date of the expenditure to which the deduction relates.”

Amendment of section 72 — business expenditure

12. Section 72 of the principal enactment is hereby amended by the insertion immediately after subsection (2) of the following new subsection: -

“(3) An amount incurred for the acquisition, maintenance or use of digital productivity equipment shall, where applicable, be dealt with in accordance with the provisions of the Fifth Schedule.”

Amendment of section 79 — head office expenditure

13. Section 79 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) Where a non-resident person incurs expenditure partly attributable to a permanent establishment in Sri Lanka, the amount deductible shall be limited to the portion reasonably attributable to that permanent establishment.”

Amendment of section 84 — information reporting

14. Section 84 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) The Commissioner-General may require a person who administers a relief scheme to furnish information necessary for verifying claims made under the Fifth Schedule.”

Amendment of section 85 — withholding

15. Section 85 of the principal enactment is hereby amended in subsection (1C) by the insertion after the existing categories of persons of the following category: -

“a digital platform operator, technology consultant, online service provider or other person notified by the Commissioner-General.”

Amendment of section 86 — electronic statements

16. Section 86 of the principal enactment is hereby amended by the insertion immediately after subsection (8) of the following new subsection: -

“(9) The Commissioner-General may specify the procedures, formats and electronic systems for furnishing information relating to deductions and reliefs claimed under the Fifth Schedule.”

Amendment of section 100 — taxpayer registration

17. Section 100 of the principal enactment is hereby amended by the insertion immediately after subsection (4) of the following new subsection: -

“(5) A person claiming a relief prescribed for a specified class of taxpayer may be required to provide such information as the Commissioner-General considers necessary for verification.”

Amendment of section 103 — taxpayer account

18. Section 103 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) Information furnished by a taxpayer for the purpose of a relief may be retained in an electronic record for the period prescribed by the Commissioner-General.”

Amendment of section 113 — returns

19. Section 113 of the principal enactment is hereby amended by the insertion immediately after subsection (1D) of the following new subsection: -

“(1E) A taxpayer claiming a relief introduced for the year of assessment commencing on April 1, 2026 shall identify the relevant relief in the return in such manner as may be specified by the Commissioner-General.”

Amendment of section 120 — assessment

20. Section 120 of the principal enactment is hereby amended by the insertion immediately after subsection (4) of the following new subsection: -

“(5) Where a deduction is claimed under a provision of the Fifth Schedule and the Commissioner-General is not satisfied that the conditions of that provision have been met, the deduction may be disallowed to the extent of the unsupported amount.”

Amendment of section 122 — additional assessment

21. Section 122 of the principal enactment is hereby amended by the insertion immediately after subsection (3) of the following new subsection: -

“(4) An additional assessment may be made where a relief has been claimed in excess of the statutory maximum or without the evidence required by this Act.”

Amendment of section 135 — self-assessment

22. Section 135 of the principal enactment is hereby amended by the insertion immediately after subsection (7) of the following new subsection: -

“(8) Where a taxpayer makes a claim under the Fifth Schedule, the taxpayer shall be responsible for ensuring that the amount claimed does not exceed the amount permitted for the relevant year of assessment.”

Amendment of section 139 — administrative review

23. Section 139 of the principal enactment is hereby amended by the insertion immediately after subsection (6) of the following new subsection: -

“(7) In reviewing a claim under the Fifth Schedule, the Commissioner-General may request receipts, invoices, certificates or other evidence relevant to the claim.”

Amendment of section 150 — refund

24. Section 150 of the principal enactment is hereby amended by the insertion immediately after subsection (5) of the following new subsection: -

“(6) Where a refund arises solely from a deduction under a relief introduced after the commencement of a year of assessment, the refund shall be dealt with in accordance with the provisions applicable to that year.”

Amendment of section 157 — interest

25. Section 157 of the principal enactment is hereby amended by the insertion immediately after subsection (4) of the following new subsection: -

“(5) Interest payable as a result of the disallowance of a relief shall be calculated on the amount of tax that would have been payable had the relief not been claimed.”

Amendment of section 163 — recovery

26. Section 163 of the principal enactment is hereby amended by the insertion immediately after subsection (4A) of the following new subsection: -

“(4B) For the purposes of recovery proceedings, an amount arising from the disallowance of an unsupported relief shall be treated as tax in default in accordance with this Act.”

Amendment of section 195 — definitions

27. Section 195 of the principal enactment is hereby amended by the insertion immediately after the definition of “year of assessment” of the following definition: -

“qualifying digital equipment” means equipment that is new or refurbished, is capable of being used in the production of income, and satisfies any specification prescribed by the Commissioner-General.”

Application to partnerships

28. Where a partner incurs expenditure qualifying for a relief under the Fifth Schedule in the course of a business carried on through a partnership, the relief shall be available only to the extent attributable to that partner and subject to the limits applicable to an individual.

Application to self-employed persons

29. A person carrying on a profession, trade or vocation may claim the digital productivity equipment relief where the equipment is used primarily for the production of income from that profession, trade or vocation.

Anti-duplication provision

30. An amount of expenditure shall not be deducted more than once under this Act, whether under the digital productivity equipment relief or under another provision of the Fifth Schedule.

Amendment of the First Schedule — individual rates

31. The First Schedule to the principal enactment is hereby amended in paragraph 1 by the insertion, immediately after the provisions applicable before April 1, 2026, of the following new subparagraph: -

“(1E) The taxable income of a resident or non-resident individual for a year of assessment commencing on April 1, 2026 shall be taxed at the following rates: -

Taxable income	Tax payable
Not exceeding Rs. 1,200,000	5% of the amount in excess of Rs. 0
Exceeding Rs. 1,200,000 but not exceeding Rs. 2,000,000	Rs. 60,000 plus 15% of the amount in excess of Rs. 1,200,000
Exceeding Rs. 2,000,000 but not exceeding Rs. 3,000,000	Rs. 180,000 plus 22% of the amount in excess of Rs. 2,000,000
Exceeding Rs. 3,000,000 but not exceeding Rs. 4,000,000	Rs. 400,000 plus 30% of the amount in excess of Rs. 3,000,000
Exceeding Rs. 4,000,000	Rs. 700,000 plus 36% of the amount in excess of Rs. 4,000,000

Taxable income — Not exceeding Rs. 1,200,000: 5% of the amount in excess of Rs. 0.

Taxable income — Exceeding Rs. 1,200,000 but not exceeding Rs. 2,000,000: Rs. 60,000 plus 15% of the amount in excess of Rs. 1,200,000.

Taxable income — Exceeding Rs. 2,000,000 but not exceeding Rs. 3,000,000: Rs. 180,000 plus 22% of the amount in excess of Rs. 2,000,000.

Taxable income — Exceeding Rs. 3,000,000 but not exceeding Rs. 4,000,000: Rs. 400,000 plus 30% of the amount in excess of Rs. 3,000,000.

Taxable income — Exceeding Rs. 4,000,000: Rs. 700,000 plus 36% of the amount in excess of Rs. 4,000,000.”

Amendment of the First Schedule — employment income

32. The First Schedule to the principal enactment is hereby amended by the substitution for the table applicable to employment income for the year of assessment commencing on April 1, 2026 of the following: -

“Total income from employment — Not exceeding Rs. 1,500,000: 0% of the amount in excess of Rs. 0.

Exceeding Rs. 1,500,000 but not exceeding Rs. 3,000,000: 5% of the amount in excess of Rs. 1,500,000.

Exceeding Rs. 3,000,000 but not exceeding Rs. 6,000,000: Rs. 75,000 plus 15% of the amount in excess of Rs. 3,000,000.

Exceeding Rs. 6,000,000: Rs. 525,000 plus 25% of the amount in excess of Rs. 6,000,000.”

Amendment of the First Schedule — supplementary rate

33. The First Schedule is hereby amended by the insertion immediately after subparagraph (1E) of paragraph 1 of the following new subparagraph: -

“(1F) Where taxable income includes a gain from the realisation of an investment asset, the amount attributable to such gain shall be taxed at the rate specified for that class of income under this Schedule.”

Amendment of the First Schedule — rate transition

34. For the avoidance of doubt, the rates specified in sections 31 and 32 shall apply only to the year of assessment commencing on April 1, 2026 and subsequent years for which those rates are expressly prescribed, and shall not alter the rates applicable to an earlier year of assessment.

Amendment of the Fifth Schedule — personal relief

35. The Fifth Schedule to the principal enactment is hereby amended in paragraph 2, in the item relating to personal relief, by the substitution for the amount applicable for the year of assessment commencing on April 1, 2026 of the following amount: -

“Rs. 2,000,000, for the year of assessment commencing on April 1, 2026.”

Amendment of the Fifth Schedule — new relief

36. The Fifth Schedule to the principal enactment is hereby amended by the insertion immediately after the item relating to personal relief of the following new item: -

“Digital Productivity Equipment Relief — an individual who incurs qualifying expenditure for the acquisition of digital productivity equipment used primarily in the production of income shall be entitled to deduct the amount of such expenditure, subject to a maximum of Rs. 300,000 for a year of assessment commencing on or after April 1, 2026.”

Conditions for digital productivity equipment relief

37. The Fifth Schedule is hereby further amended by the insertion immediately after the new item introduced by section 36 of the following: -

- “(a) the expenditure shall have been incurred by the individual during the relevant year of assessment;
- (b) the equipment shall be used primarily for the production of income;
- (c) the individual shall retain documentary evidence of the expenditure;
- (d) the same expenditure shall not be claimed under another deduction; and
- (e) the amount claimed shall not exceed the statutory maximum.”

Eligible expenditure

38. For the purposes of the digital productivity equipment relief, qualifying expenditure may include expenditure incurred for a computer, laptop, tablet, printer, network device, data storage device, or other electronic equipment used primarily in the production of income.

Excluded expenditure

39. Expenditure on personal entertainment equipment, household appliances, motor vehicles, land, buildings, furniture not primarily used for the production of income, or expenditure otherwise prohibited under this Act shall not qualify for the relief.

Shared-use equipment

40. Where equipment is used partly for the production of income and partly for private purposes, the amount of expenditure qualifying for the relief shall be limited to the proportion reasonably attributable to the production of income, subject to the maximum amount specified in section 36.

Capital and financing arrangements

41. Where qualifying equipment is acquired under a financing arrangement, only the amount actually incurred for the acquisition of the equipment, and not interest or financing charges unless expressly permitted, shall be treated as qualifying expenditure.

Timing of expenditure

42. Expenditure shall be treated as incurred for the purposes of the relief on the date on which the individual becomes liable to pay for the equipment, subject to the evidence requirements specified by the Commissioner-General.

Evidence and receipts

43. A receipt, invoice, bank record, electronic payment record or other documentary evidence acceptable to the Commissioner-General may be used to substantiate a claim under the digital productivity equipment relief.

Maximum amount

44. Notwithstanding any other provision of this Act, the maximum amount deductible under the digital productivity equipment relief shall be Rs. 300,000 for the year of assessment commencing on April 1, 2026.

Unused relief

45. Any amount of qualifying expenditure exceeding the maximum amount specified in section 44 shall not be deducted in a subsequent year unless expressly provided by another written law.

Interaction with personal relief

46. The digital productivity equipment relief shall be applied in addition to personal relief where the individual satisfies the conditions applicable to each relief.

Interaction with employment relief

47. Where an individual is entitled to both employment-related relief and digital productivity equipment relief, the two reliefs shall be separately identified in the return and shall be subject to their respective statutory limits.

Special rule for qualifying payments

48. A payment that qualifies as a qualifying payment under paragraph 1 of the Fifth Schedule shall not be treated as expenditure for the purposes of the digital productivity equipment relief merely because the payment relates to equipment.

Special rule for business use

49. Where equipment is used by an individual in carrying on a business, the individual shall be entitled to the relief only to the extent that the equipment is used in the production of business income.

Change in circumstances

50. Where qualifying equipment ceases to be used primarily in the production of income before the end of the period prescribed by the Commissioner-General, the taxpayer shall disclose such change in the return and the Commissioner-General may determine the amount of relief properly allowable.

Disposal of equipment

51. Where qualifying equipment is disposed of, transferred or permanently removed from use in the production of income, the relief already allowed shall not be increased by reason of the disposal and any adjustment required by this Act shall be made in the relevant year.

Multiple equipment purchases

52. Where an individual acquires more than one item of qualifying equipment in a year of assessment, the total amount deductible in respect of all such items shall not exceed the maximum amount specified in section 44.

Joint ownership

53. Where qualifying equipment is jointly owned by two or more individuals, the relief may be claimed by each individual only to the extent of the qualifying expenditure borne by that individual and subject to the statutory maximum for that individual.

Employer reimbursement

54. Where an employer reimburses an employee for expenditure on equipment, the employee shall not claim the reimbursed amount as qualifying expenditure to the extent that the employee has not borne that expenditure.

Digital service subscription

55. A recurring subscription, internet charge, cloud service fee or software service charge shall not qualify under the digital productivity equipment relief unless the Commissioner-General has prescribed such expenditure as qualifying expenditure by notice.

Software licence

56. A software licence acquired together with qualifying equipment shall not be treated as qualifying equipment unless the licence is inseparable from the acquisition of the equipment and is included in the invoice for that equipment.

Commissioner-General's guidelines

57. The Commissioner-General may issue guidelines for the effective administration of the digital productivity equipment relief, including the categories of equipment, evidence required and manner of claiming the relief.

Anti-avoidance

58. Nothing in this Schedule shall permit a deduction where an arrangement has been entered into primarily for the purpose of obtaining a relief to which the individual would otherwise not be entitled.

Further amendment — electronic filing and notices

59. The principal enactment is hereby amended, in relation to electronic filing and notices, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to electronic filing and notices, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — taxpayer identification

60. The principal enactment is hereby amended, in relation to taxpayer identification, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to taxpayer identification, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — information from banks

61. The principal enactment is hereby amended, in relation to information from banks, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to information from banks, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — information from digital platforms

62. The principal enactment is hereby amended, in relation to information from digital platforms, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to information from digital platforms, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — records retained electronically

63. The principal enactment is hereby amended, in relation to records retained electronically, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to records retained electronically, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — third-party verification

64. The principal enactment is hereby amended, in relation to third-party verification, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to third-party verification, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — assessment notices

65. The principal enactment is hereby amended, in relation to assessment notices, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to assessment notices, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — objections

66. The principal enactment is hereby amended, in relation to objections, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to objections, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — administrative review

67. The principal enactment is hereby amended, in relation to administrative review, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to administrative review, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — appeals

68. The principal enactment is hereby amended, in relation to appeals, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to appeals, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — penalty notices

69. The principal enactment is hereby amended, in relation to penalty notices, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to penalty notices, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — late filing

70. The principal enactment is hereby amended, in relation to late filing, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to late filing, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — payment arrangements

71. The principal enactment is hereby amended, in relation to payment arrangements, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to payment arrangements, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — refund verification

72. The principal enactment is hereby amended, in relation to refund verification, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to refund verification, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — tax clearance certificates

73. The principal enactment is hereby amended, in relation to tax clearance certificates, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to tax clearance certificates, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — business closure

74. The principal enactment is hereby amended, in relation to business closure, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to business closure, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — change of address

75. The principal enactment is hereby amended, in relation to change of address, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to change of address, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — representatives

76. The principal enactment is hereby amended, in relation to representatives, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to representatives, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — authorised agents

77. The principal enactment is hereby amended, in relation to authorised agents, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to authorised agents, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — electronic signatures

78. The principal enactment is hereby amended, in relation to electronic signatures, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to electronic signatures, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — document authentication

79. The principal enactment is hereby amended, in relation to document authentication, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to document authentication, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — data correction

80. The principal enactment is hereby amended, in relation to data correction, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to data correction, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — confidentiality

81. The principal enactment is hereby amended, in relation to confidentiality, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to confidentiality, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — disclosure under written law

82. The principal enactment is hereby amended, in relation to disclosure under written law, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to disclosure under written law, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — retention of records

83. The principal enactment is hereby amended, in relation to retention of records, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to retention of records, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — transitional records

84. The principal enactment is hereby amended, in relation to transitional records, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to transitional records, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — prescribed forms

85. The principal enactment is hereby amended, in relation to prescribed forms, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to prescribed forms, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — Commissioner-General powers

86. The principal enactment is hereby amended, in relation to Commissioner-General powers, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to Commissioner-General powers, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — delegation

87. The principal enactment is hereby amended, in relation to delegation, by the insertion of the following new provision:

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“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to delegation, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Further amendment — regulations

88. The principal enactment is hereby amended, in relation to regulations, by the insertion of the following new provision: -

“For the purposes of the administration of this Act, the Commissioner-General may specify the information, procedure, form, electronic method or supporting document required in relation to regulations, provided that such requirement is applied consistently with the provisions of this Act.”

Where a requirement is specified under this section, a person to whom the requirement applies shall comply within the period and in the manner specified.

Transitional treatment for 2025/26

89. Nothing in this Act shall affect the amount of personal relief, deduction, tax rate or tax payable for the year of assessment commencing on April 1, 2025, except where a provision of this Act expressly provides otherwise.

Transitional treatment for earlier years

90. The provisions applicable to a year of assessment commencing before April 1, 2025 shall continue to apply in accordance with the law applicable to that year.

Protection of completed assessments

91. Except where otherwise provided by law, an assessment that has become final and conclusive before the commencement of this Act shall not be reopened solely by reason of the amendments made by this Act.

Interpretation

92. In this Act, unless the context otherwise requires —

“assessment year 2026/27” means the year of assessment commencing on April 1, 2026;

“qualifying expenditure” means expenditure that satisfies the conditions specified in the Fifth Schedule;

“source document” means the legislative document from which an applicable rule has been extracted for the purposes of this demonstration.

Source and provenance demonstration provision

93. For the purposes of demonstrating provenance in an electronic tax rules system, a rule may be associated with the legislative source from which the rule was obtained and the section or paragraph containing the applicable provision.

For the demonstration index, the amendment document is identified as “ird-demo-2026-01”.

Act exclusion demonstration

94. Where an electronic tax rules system permits a legislative source to be excluded from retrieval for demonstration or testing purposes, exclusion of a source shall not constitute repeal, deletion or modification of the legislation represented by that source.

Restoration of excluded source

95. A source excluded for demonstration or testing may be restored without altering the underlying legislative document or the text of any provision represented by that document.

Schedules

96. The First and Fifth Schedules to the principal enactment shall, in relation to the amendments made by this Act, be read together with the provisions of the principal enactment.

Regulations

97. The Minister may make regulations for giving effect to the provisions of this Act.

Sinhala and Tamil texts

98. In the event of any inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

SCHEDULE A

INDIVIDUAL TAX RATES FOR THE YEAR OF ASSESSMENT 2026/27

A1. Application.

“The rates in this Schedule apply to taxable income of an individual for the year of assessment commencing on April 1, 2026.”

A2. First band.

“Taxable income not exceeding Rs. 1,200,000 shall be taxed at 5 per centum of the amount in excess of Rs. 0.”

A3. Second band.

“Taxable income exceeding Rs. 1,200,000 but not exceeding Rs. 2,000,000 shall be taxed at Rs. 60,000 plus 15 per centum of the amount in excess of Rs. 1,200,000.”

A4. Third and fourth bands.

“Taxable income exceeding Rs. 2,000,000 but not exceeding Rs. 3,000,000 shall be taxed at Rs. 180,000 plus 22 per centum of the amount in excess of Rs. 2,000,000; and taxable income exceeding Rs. 3,000,000 but not exceeding Rs. 4,000,000 shall be taxed at Rs. 400,000 plus 30 per centum of the amount in excess of Rs. 3,000,000.”

A5. Highest band.

“Taxable income exceeding Rs. 4,000,000 shall be taxed at Rs. 700,000 plus 36 per centum of the amount in excess of Rs. 4,000,000.”

SCHEDULE B

DIGITAL PRODUCTIVITY EQUIPMENT RELIEF

B1. Entitlement.

“An individual who incurs qualifying expenditure may deduct the lower of the qualifying expenditure and Rs. 300,000.”

B2. Year.

“The relief applies for the year of assessment commencing on April 1, 2026.”

B3. Equipment.

“Qualifying equipment includes computers, laptops, tablets, printers, networking equipment and data storage equipment used primarily in the production of income.”

B4. Business use.

“Where equipment is used partly for private purposes, only the income-producing proportion qualifies.”

B5. Employment use.

“An employee may claim the relief where the employee bears the cost and the equipment is used primarily in the production of employment income.”

B6. Evidence.

“Receipts, invoices, bank records and other evidence acceptable to the Commissioner-General may establish the amount incurred.”

B7. Maximum.

“The total amount deductible in respect of all qualifying equipment shall not exceed Rs. 300,000.”

B8. No duplication.

“An amount already deducted under another provision shall not be deducted again under this Schedule.”

B9. Reimbursement.

“An amount reimbursed by an employer or another person shall not qualify to the extent that the individual has not borne the expenditure.”

B10. Disposal.

“Where qualifying equipment ceases to be used primarily for income production, the taxpayer shall disclose the change as required.”

B11. Verification.

“The Commissioner-General may verify the nature, ownership, use and amount of qualifying expenditure.”

B12. Interpretation.

“The relief shall be interpreted consistently with the principal enactment and the conditions specified in this Schedule.”

SCHEDULE C

DOCUMENTARY EVIDENCE AND VERIFICATION

C1. Verification rule 1.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C2. Verification rule 2.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C3. Verification rule 3.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C4. Verification rule 4.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C5. Verification rule 5.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C6. Verification rule 6.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C7. Verification rule 7.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C8. Verification rule 8.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C9. Verification rule 9.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

C10. Verification rule 10.

“For the purpose of verifying a claim under the Fifth Schedule, the Commissioner-General may require evidence reasonably related to the claim, including receipts, invoices, payment records, asset details, dates of acquisition, business-use records and declarations made by the taxpayer.”

SCHEDULE D

DEMONSTRATION PROVENANCE MAP

D1. Source document.

“The synthetic amendment document is identified for demonstration as ird-demo-2026-01.”

D2. Assessment year.

“The principal demonstration year is 2026_27.”

D3. Personal relief.

“The synthetic amendment changes the personal relief to Rs. 2,000,000 for 2026/27.”

D4. New relief.

“Digital Productivity Equipment Relief is introduced with a maximum amount of Rs. 300,000.”

D5. New relief binder.

“The intended generic calculation is min(claim, cap).”

D6. Input kind.

“The intended interview input kind is yes_no_amount.”

D7. Compare group.

“The intended compare group is digital_productivity_relief.”

D8. Section.

“The principal statutory reference is Fifth Schedule, paragraph 2, as amended by sections 36 and 37 of this synthetic Act.”

D9. Rate source.

“The revised individual rates are in the First Schedule provisions introduced by section 31.”

D10. Exclusion.

“Removing this source document from the demonstration retrieval set must cause its rules to disappear from the active result set.”

D11. Restoration.

“Restoring the source document must make its rules available again without deleting the underlying file.”

D12. Status.

“This provenance schedule is metadata for the demonstration system and is not a statement of real Sri Lankan law.”

DEMONSTRATION EXTRACTION TARGETS

The following values are intentionally repeated in the legal-style text so the Catalog Admin extraction and auditor review can detect them from quotes.

Target	Expected value
Assessment year	2026_27
Personal relief	Rs. 2,000,000
New relief	Digital Productivity Equipment Relief
New relief cap	Rs. 300,000
Calculation	min(claim, cap)
Changed rate bands	5%, 15%, 22%, 30%, 36%
Effective date	April 1, 2026
Source document ID	ird-demo-2026-01

END OF DEMONSTRATION DOCUMENT

DEMO ONLY — NOT LAW — NOT AN OFFICIAL GOVERNMENT PUBLICATION

PART VI

ADDITIONAL DEMONSTRATION AMENDMENTS

99. Digital record of relief claims.

“For the purposes of administering the provisions relating to digital record of relief claims, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

100. Electronic acknowledgement.

“For the purposes of administering the provisions relating to electronic acknowledgement, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

101. Correction of information.

“For the purposes of administering the provisions relating to correction of information, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

102. Multiple claims.

“For the purposes of administering the provisions relating to multiple claims, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

103. Currency conversion.

“For the purposes of administering the provisions relating to currency conversion, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

104. Evidence from third parties.

“For the purposes of administering the provisions relating to evidence from third parties, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

105. Failure to provide evidence.

“For the purposes of administering the provisions relating to failure to provide evidence, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

106. Reasonable attribution.

“For the purposes of administering the provisions relating to reasonable attribution, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

107. Record of adjustments.

“For the purposes of administering the provisions relating to record of adjustments, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

108. Notice of adjustment.

“For the purposes of administering the provisions relating to notice of adjustment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

PART VII

DETAILED ADMINISTRATIVE RULES

109. Registration procedure.

“For the purposes of administering the provisions relating to registration procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

110. Evidence procedure.

“For the purposes of administering the provisions relating to evidence procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

111. Electronic submission.

“For the purposes of administering the provisions relating to electronic submission, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

112. Verification procedure.

“For the purposes of administering the provisions relating to verification procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

113. Correction procedure.

“For the purposes of administering the provisions relating to correction procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

114. Record retention.

“For the purposes of administering the provisions relating to record retention, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

115. Notification procedure.

“For the purposes of administering the provisions relating to notification procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

116. Review procedure.

“For the purposes of administering the provisions relating to review procedure, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

117. Supplier verification.

“For the purposes of administering the provisions relating to supplier verification, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

118. Financial institution verification.

“For the purposes of administering the provisions relating to financial institution verification, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

119. Employer verification.

“For the purposes of administering the provisions relating to employer verification, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

120. Agent verification.

“For the purposes of administering the provisions relating to agent verification, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

PART VIII

TRANSITIONAL APPLICATION AND SAVINGS

121. Application to 2026/27.

“The provisions introduced by this Act relating to the digital productivity equipment relief and the revised individual rates shall apply for the year of assessment commencing on April 1, 2026, subject to the conditions and limits expressly specified in this Act.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

122. No retrospective expansion.

“For the purposes of administering the provisions relating to no retrospective expansion, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

123. Existing claims.

“For the purposes of administering the provisions relating to existing claims, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

124. Existing records.

“For the purposes of administering the provisions relating to existing records, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

125. Existing assessments.

“For the purposes of administering the provisions relating to existing assessments, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

126. Existing obligations.

“For the purposes of administering the provisions relating to existing obligations, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

127. Saving of powers.

“For the purposes of administering the provisions relating to saving of powers, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

128. Saving of proceedings.

“For the purposes of administering the provisions relating to saving of proceedings, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

129. References.

“For the purposes of administering the provisions relating to references, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

130. Treatment of pending claims.

“For the purposes of administering the provisions relating to treatment of pending claims, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

PART IX

EXPLANATORY PROVISIONS FOR THE DEMONSTRATION

131. Purpose of source identification.

“For the purposes of administering the provisions relating to purpose of source identification, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

132. Rule provenance.

“For the purposes of an electronic tax rules index, an approved rule may retain the legislative source identifier, section reference, effective date and quotation from which the rule was obtained.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

133. Year-specific retrieval.

“For the purposes of administering the provisions relating to year-specific retrieval, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

134. Source exclusion.

“Where a legislative source is excluded from an electronic retrieval set for demonstration or testing purposes, rules attributed to that source shall not be returned by the active retrieval set, and such exclusion shall not constitute repeal or deletion of the source.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

135. Source restoration.

“Where a previously excluded source is restored, the approved rules attributed to that source shall again be available to the retrieval set, subject to the applicable assessment year and other filters.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

136. Calculation trace.

“Where a calculation uses a rule obtained from an indexed source, the calculation trace may identify the relief, statutory cap, amount applied, section reference and source document identifier.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

137. Explanation evidence.

“An explanation supplied after calculation shall be grounded in the legal quotation associated with the applicable approved rule and shall not introduce a new statutory amount.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

138. No alteration of calculation.

“A narrative explanation shall not alter, override or substitute the amount calculated under the applicable provisions of the principal enactment and this Act.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

139. Approved rule status.

“For the purposes of administering the provisions relating to approved rule status, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

140. Auditor acceptance.

“For the purposes of administering the provisions relating to auditor acceptance, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

PART X

DETAILED NEW RELIEF RULES

141. Qualifying computer equipment.

“A computer or laptop purchased and used primarily by an individual in producing employment, business or professional income shall qualify, subject to the maximum amount and conditions prescribed by the Fifth Schedule.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

142. Peripheral equipment.

“For the purposes of administering the provisions relating to peripheral equipment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

143. Connectivity equipment.

“For the purposes of administering the provisions relating to connectivity equipment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

144. Refurbished equipment.

“For the purposes of administering the provisions relating to refurbished equipment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

145. Private use.

“For the purposes of administering the provisions relating to private use, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

146. Employer contribution.

“For the purposes of administering the provisions relating to employer contribution, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

147. Joint purchase.

“For the purposes of administering the provisions relating to joint purchase, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

148. Family purchase.

“For the purposes of administering the provisions relating to family purchase, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

149. Replacement equipment.

“For the purposes of administering the provisions relating to replacement equipment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

150. Repairs.

“For the purposes of administering the provisions relating to repairs, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

151. Bundled purchase.

“For the purposes of administering the provisions relating to bundled purchase, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

152. Imported equipment.

“For the purposes of administering the provisions relating to imported equipment, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

153. Foreign supplier.

“For the purposes of administering the provisions relating to foreign supplier, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

154. Payment timing.

“For the purposes of administering the provisions relating to payment timing, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

155. Maximum per year.

“Notwithstanding any other provision, the aggregate amount deductible by an individual in respect of qualifying digital productivity equipment shall not exceed Rs. 300,000 for the year of assessment commencing on April 1, 2026.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

PART XI

FINAL ADMINISTRATIVE PROVISIONS

156. Commissioner-General.

“For the purposes of administering the provisions relating to commissioner-general, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

157. Forms.

“For the purposes of administering the provisions relating to forms, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

158. Electronic systems.

“For the purposes of administering the provisions relating to electronic systems, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

159. Guidelines.

“For the purposes of administering the provisions relating to guidelines, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

160. Notices.

“For the purposes of administering the provisions relating to notices, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

161. Regulations.

“For the purposes of administering the provisions relating to regulations, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

162. Severability.

“For the purposes of administering the provisions relating to severability, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

163. Interpretation.

“For the purposes of administering the provisions relating to interpretation, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

164. Commencement.

“For the purposes of administering the provisions relating to commencement, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.

165. Sinhala and Tamil texts.

“For the purposes of administering the provisions relating to sinhala and tamil texts, the Commissioner-General may specify the information, evidence, procedure, form or electronic method required, and a person to whom such requirement applies shall comply within the period specified.”

Where an amount, date, document or condition is required under this provision, the requirement shall be applied by reference to the relevant year of assessment and the provisions of the principal enactment.